



Madhya Pradesh MSME Development Policy

Achieving the state's industrial development goals and enhancing MSME competitiveness by creating enabling infrastructure, fostering a supportive ecosystem, promoting inclusive growth, and providing opportunities for young entrepreneurs to drive employment generation.

Incentives for MSMEs (Investment up to INR 10 Cr in P&M):

- BIPA: 40%, plus 8% for SC/ST/Women.
- Export Units: Additional 12% subsidy.
- Financial Assistance: Up to INR 5 lakh for certifications, energy audits, and patent/IPR registration.
- Infrastructure & ETP Development: 50% reimbursement (up to INR 25 lakh).

Sector-Specific Incentives:

- Power Loom: 25% subsidy for upgrades; electricity rebate (INR 1.50/unit for 20HP and INR 1.25/unit for 20-150HP).
- Pharma: Up to 50% subsidy for GMP/USFDA certification and lab setup (max INR 50 lakh and INR 25 lakh).
- Apparel: INR 2500/month salary grant for 5 years (max INR 5 lakh annually).

Incentives for Medium Enterprises (Rs. 10 Cr to Rs. 50 Cr):

- BIPA: Up to 40% for P&M and building.
- Financial Assistance: Up to INR 5 lakh for patent/IPR registration.
- Infrastructure & ETP: 50% reimbursement (up to INR 1 crore each).

Sector-Specific Incentives for Medium Enterprises:

- Textiles: 2-5% interest subsidy for 5 years; 7% subsidy for new composite units.
- Food Processing: Power tariff rebate, mandi fee exemption, and infrastructure assistance (up to INR 5 crore).
- Apparel: Interest subsidy (5%), electricity duty exemption (7 years), and employment subsidy (up to INR 5,000/month for 5 years).

Infrastructure Development Incentives:

- Financial Assistance: Up to INR 2.5 crore for industrial areas; INR 5 crore for specific sectors (Power loom, Pharma, Apparel).
- Food Processing: Assistance for setting up Mega/Food Parks and stamp duty reimbursement for Mega Food Park land transfer.